Cholamandalam Investment & Finance Company Ltd

CHOLAFIN • N/A

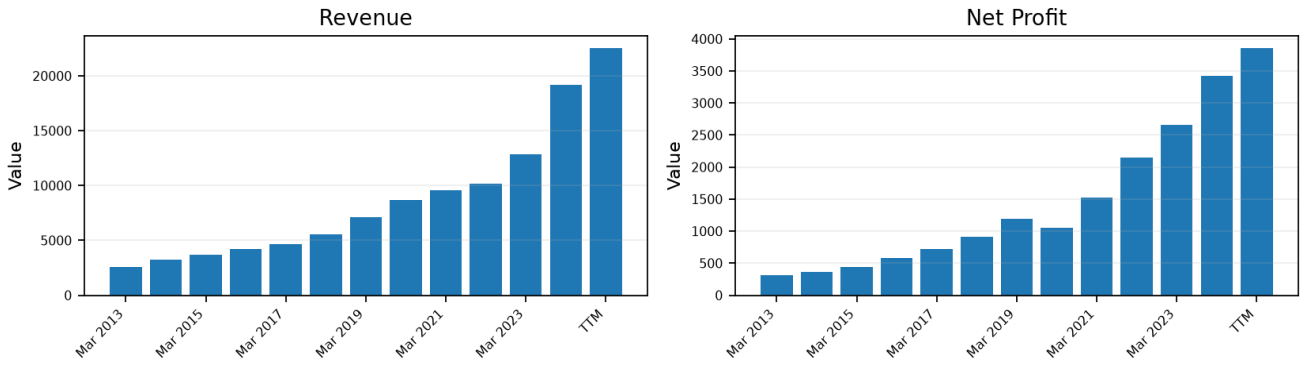
Company	Cholamandalam Investment & Finance Company Ltd
NSE Ticker	CHOLAFIN
Sector	N/A
Sub-sector	N/A
About	Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

Key Financial Indicators

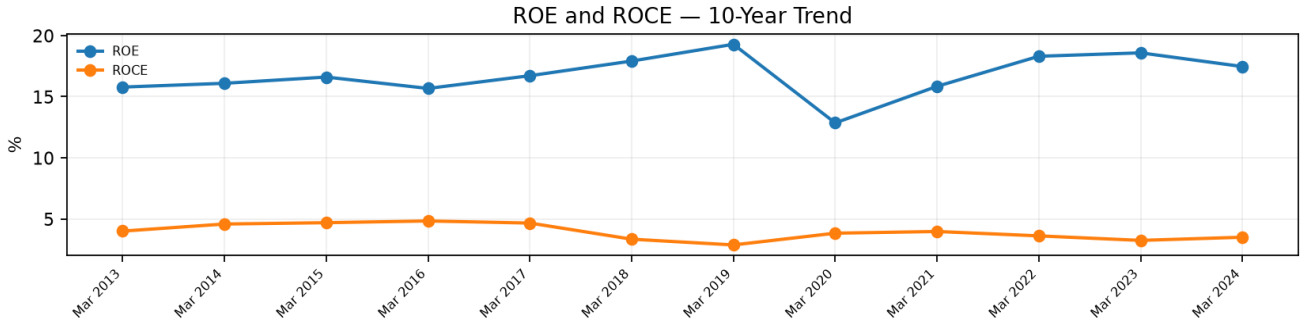
ROE	ROCE	Net Profit Margin
17.46%	3.50%	17.85%

D/E	Revenue CAGR 5Y	FCF
6.86	20.90%	-38,538.00

Revenue and Net Profit — 10-Year Trend



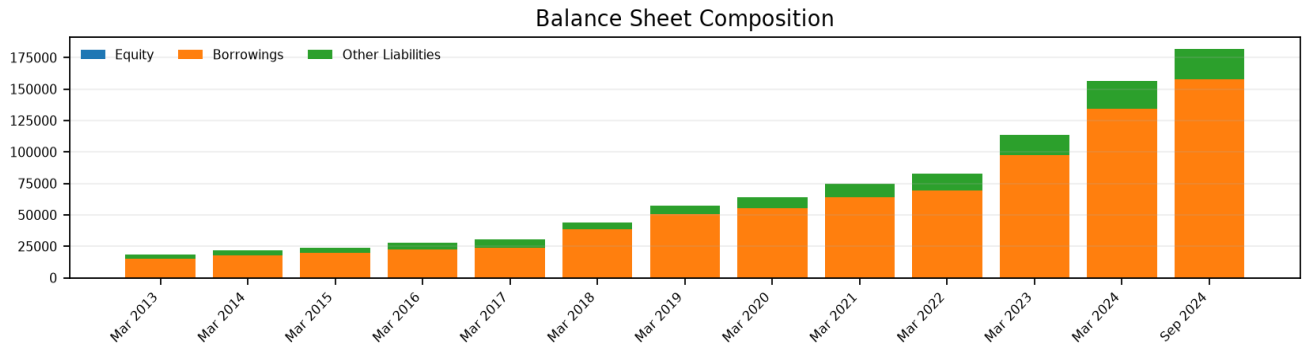
Return Efficiency Trend



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Balance Sheet Composition



Latest-Year Cash Flow

Latest Year: Mar 2024

CFO	CFI	CFF	Net Cash Flow
-35,683.00	-2,855.00	38,471.00	-66.00

PROS

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

✕ Debt-to-equity ratio of 6.86 is elevated for a non-financial company and warrants monitoring

✕ Free cash flow negative for 3 consecutive years raises concern about cash generation quality

✕ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION: Distress Signal